

Our customers are at their most profitable point in 55 years.

184

US meat-to-feed parity today
(2016 average = 100)

13

months already spent
at this peak

0

of the five previous peaks
that held

WHAT YOU ARE LOOKING AT

One ratio: what a kilo of meat buys in feed.

THE MEASURE

PARITY =

meat price ÷ feed cost

Higher = meat outpacing feed → the producer earns more.

Lower = feed eating the margin.

THE SCALE

Each market is indexed to **its own 2016 average = 100**.

So 184 means US producers earn 84% more per kilo of feed than they did in 2016. The three lines are comparable in shape, not in level.

WHICH PRICES, EXACTLY

US slaughter cattle ÷ corn

BLS producer prices · 1971 → · 666 months

EU beef reference price ÷ compound feed

Eurostat · 2015 → · 129 months

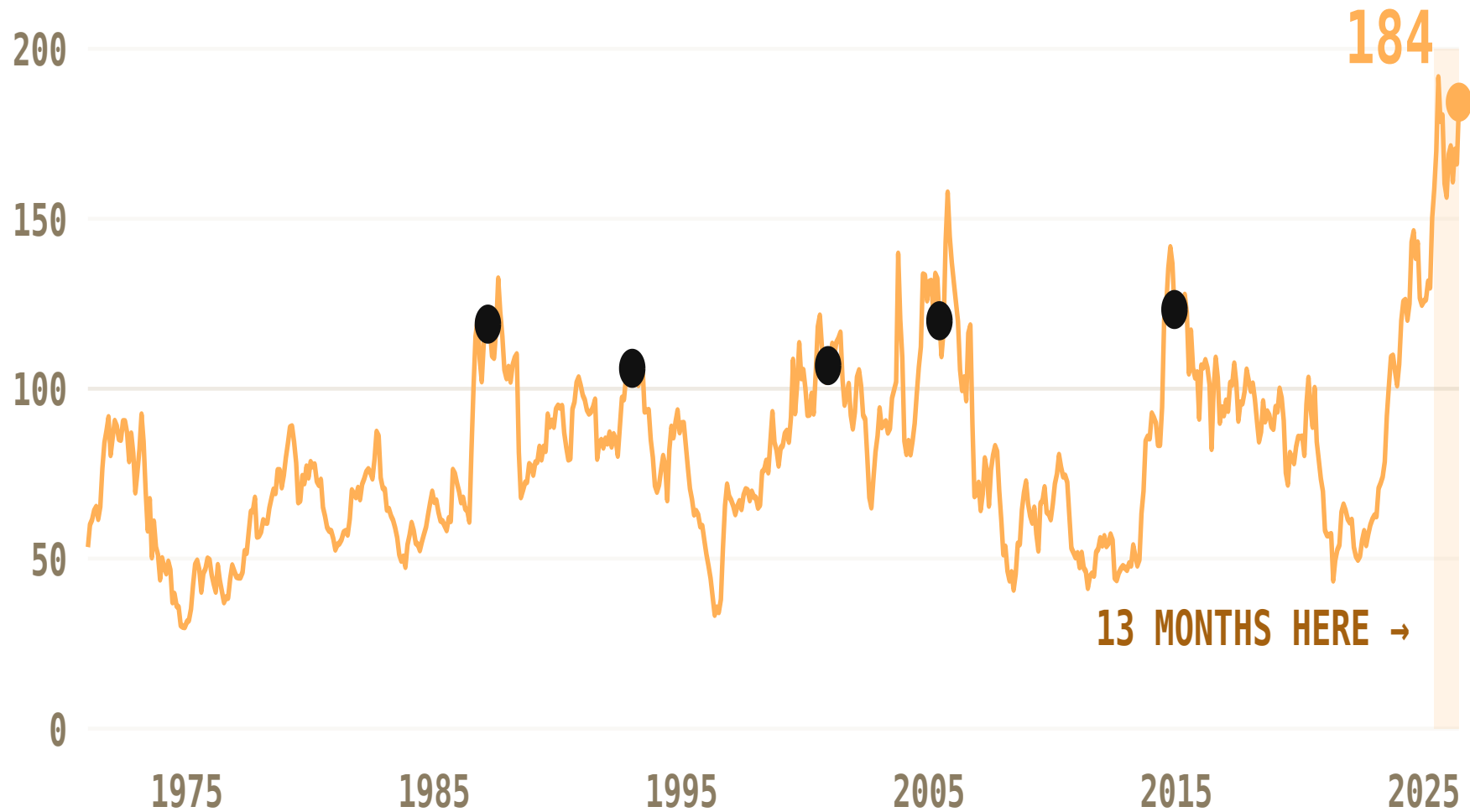
TR meat ÷ feed producer prices

TurkStat · 2010 → · 198 months

Not the same basket in each country — which is exactly why each series is indexed to its own base, and why we read shape rather than level.

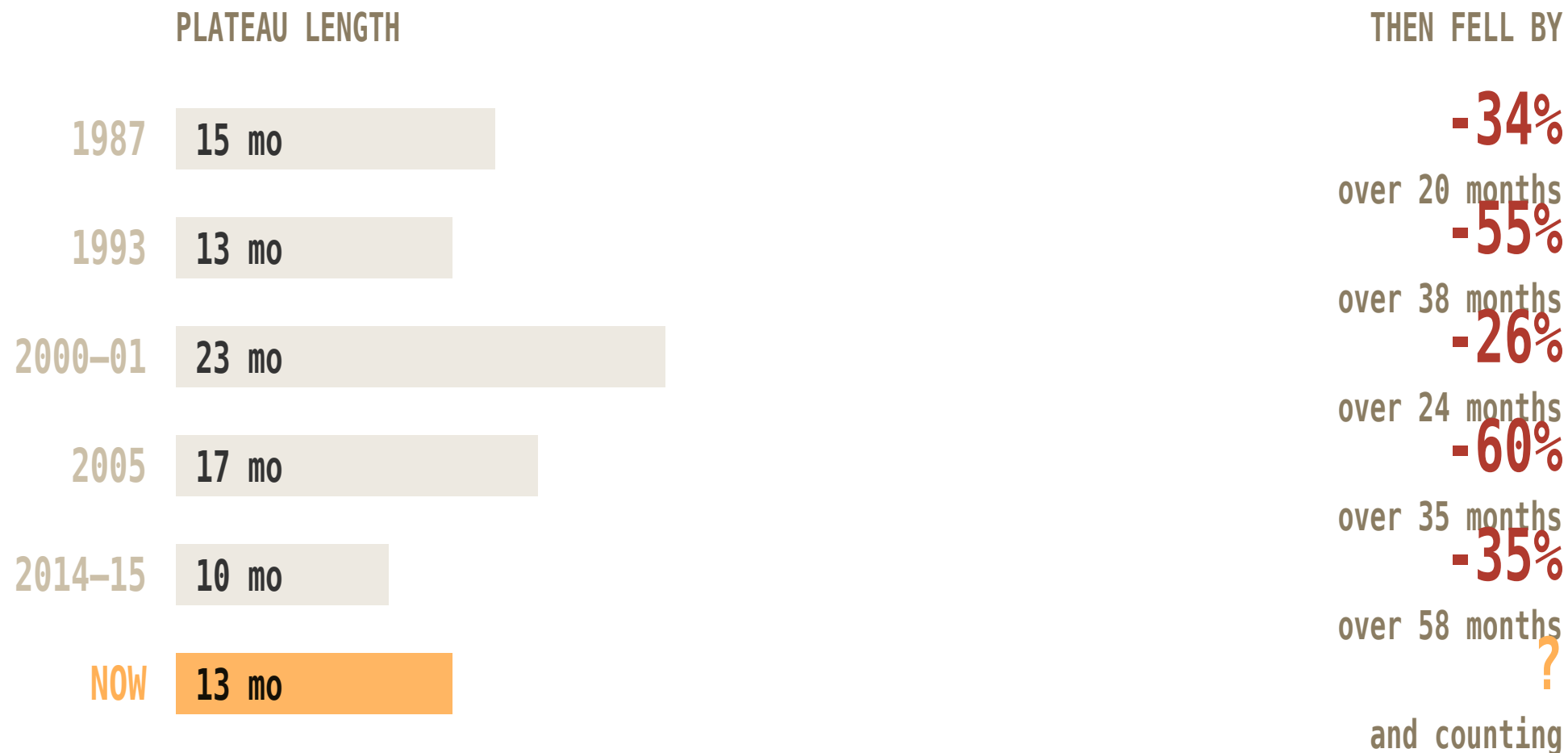
A record — and it has stopped climbing.

Line = US producer margin ratio, one point per month. Higher is better for the producer.



Five peaks. Every one fell 25–60%.

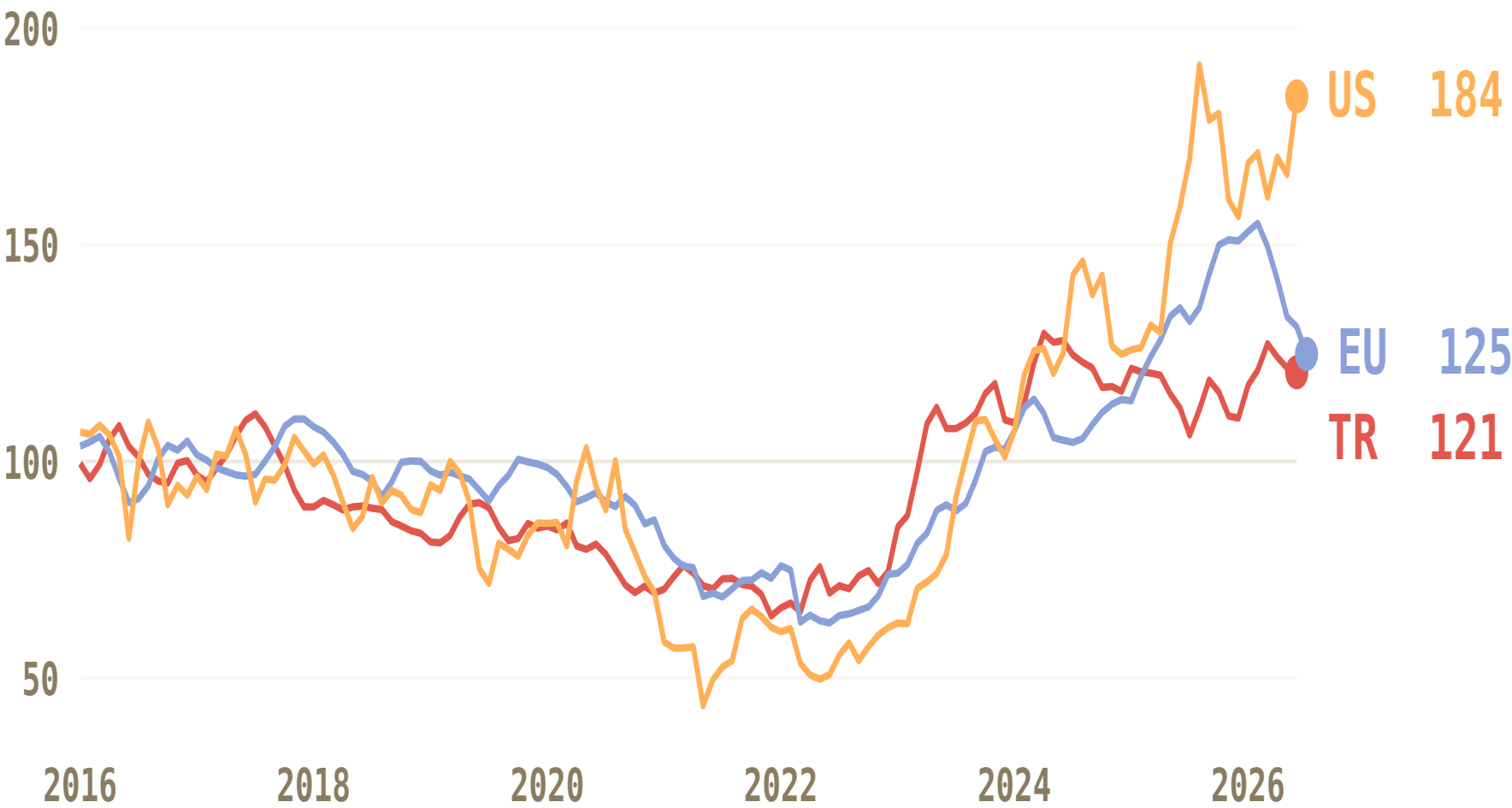
Bar = how long each peak lasted before it broke. Right = how far the ratio then fell.



PLATEAU = MONTHS WITHIN 10% OF PEAK • FALL = PEAK TO NEXT BOTTOM

Three markets. One cycle. At the same time.

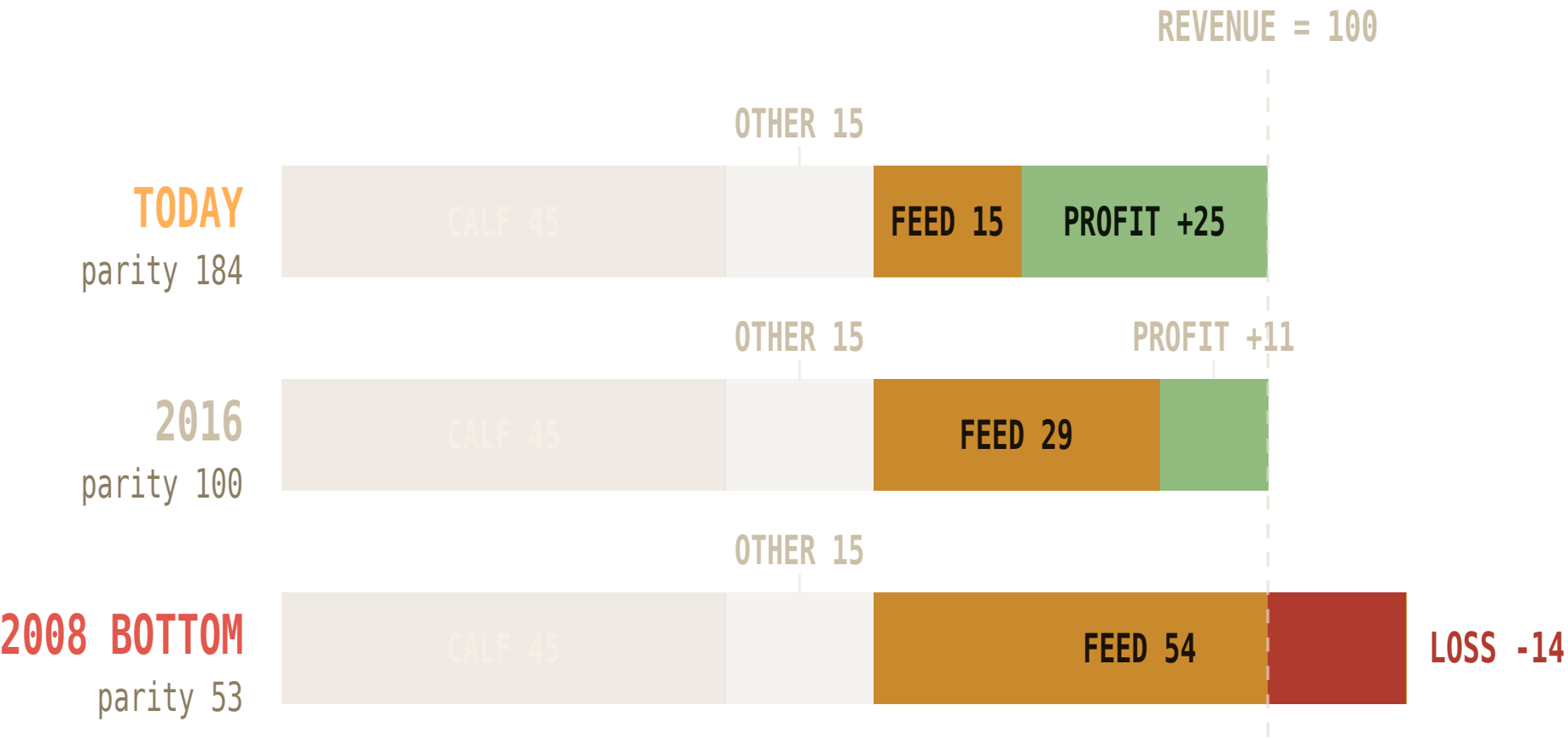
Same ratio, three markets, each on its own 2016 = 100 base. Watch the shape, not the gap.



EACH MARKET INDEXED TO ITS OWN 2016 AVERAGE = 100 • US-EU CORRELATION 0.88 AT ZERO LAG

The same farm. Three different businesses.

A feedlot's costs per 100 of revenue. Only the feed line moves — the ratio does the rest.



ILLUSTRATIVE FEEDLOT MODEL • CALF AND OTHER COSTS HELD FIXED • FEED SCALED BY THE PARITY RATIO • REVENUE INDEXED TO 100

We don't know what they cut first.

1 The window is now

Customers have cash today. The conversation is easier while they are profitable.

2 Phasing beats size

A price move landing into a downturn behaves differently from one landing into a peak.

3 Next step: two to three weeks

Map what producers actually cut, in what order, in the last two downturns — against our portfolio.
The macro side is done.